

Employing in Israel

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under Israeli labour law
- **Monthly payroll** — salary payments in ILS via Israeli bank transfer (mandatory)
- **Tax withholding** — progressive Mas Hachnasa income tax withheld and remitted to the Israel Tax Authority
- **Bituach Leumi** — National Insurance and National Health Insurance contribution administration
- **Leave and termination management** — notice periods, pension and severance insurance guidance

Employment Conditions

Contracts & Probation

Israeli law requires salary to be paid in New Israeli Shekels via an Israeli bank transfer — paying an Israeli employee in USD via international transfer does not satisfy the legal requirement, regardless of the amount.

Item	Detail	Legal Basis
Payment currency requirement	Must be paid in ILS via Israeli bank transfer; USD payment does not satisfy the legal requirement	Israeli labour law
Mandatory pension enrolment	From the employee's 6th month, using an approved Israeli pension fund (Keren Pensia)	Mandatory Pension Law
Employer tax registration	Requires Form 4436 and an Israeli Employer Tax Number (Mispar Nikouy); processing takes 2–6 weeks	Israel Tax Authority

Minimum Wage & Bituach Leumi Contributions (2026)

Measure	Rate	Notes
Minimum wage	₪6,443.85/month	+3.3% from 1 April 2026, up from ₪6,248
Employer Bituach Leumi (lower bracket, up to ~₪7,122/month)	6.70% combined (National Insurance + Health)	Rate applies to the portion of salary within this bracket
Employer Bituach Leumi (higher bracket, ~₪7,122–₪47,465/month)	12.60% combined	Most professional and tech salaries fall in this bracket
Bituach Leumi contribution ceiling	~₪47,465/month	No further contributions due on salary above this level — a natural cap benefiting senior/high earners proportionally

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	12–24 days/year (scales with tenure)	Employer	Annual Leave Law minimum, rises after 5 years
Sick Leave	1.5 days/month accrued (up to 90 days), 0% day 1, 50% days 2–3, 100% from day 4	Employer	Sick Pay Law
Maternity Leave	26 weeks (15 weeks paid via Bituach Leumi)	Bituach Leumi	Job-protected

★ HERO TIP

Bituach Leumi's bracketed structure means the effective employer contribution rate actually rises as salary crosses the lower threshold (~₪7,122/month) — from 6.70% to 12.60% — but then caps entirely above ~₪47,465/month. For senior tech hires in Israel, this ceiling makes Bituach Leumi proportionally lighter than it looks on paper. Pension and severance insurance are typically calculated on base salary only, while Bituach Leumi applies to total gross — confirm your HeroForce EOR is applying the right base to each calculation.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer Bituach Leumi (illustrative, blended ~11%)	\$330.00	11.00%
Employer pension contribution (illustrative, 6.5%, from month 6)	\$195.00	6.50%
Severance insurance (illustrative, 8.33%)	\$250.00	8.33%
EOR service fee (HeroForce, Tier 3)	\$750.00	25.00%
Estimated total monthly cost	~\$4,525.00	~150.8%

HeroForce EOR service fee shown at USD \$750 per employee per month plus a one-time USD \$500 setup fee (Tier 3 pricing). Pension and severance insurance are mandatory once the employee passes the 6-month threshold and are typically calculated on base salary only. Employee deductions (withheld separately) include employee-side Bituach Leumi and progressive Mas Hachnasa income tax with personal tax credit points (Nekudot Zikui).

Termination & Separation

Notice periods scale with tenure under Israeli labour law (commonly 1 day per month of service in the first year, then 1 month for subsequent years). Severance pay (Pitzuim) is generally 1 month's salary per year of service, typically funded through the ongoing severance insurance contribution rather than a lump-sum payment at termination.

Public Holidays 2026

Date	Holiday	Type
~March	Purim	National (Hebrew calendar)
~April	Passover (first and last days)	National (Hebrew calendar)
~April/May	Independence Day	National (Hebrew calendar)
~May/June	Shavuot	National (Hebrew calendar)
~September/October	Rosh Hashanah (2 days)	National (Hebrew calendar)
~September/October	Yom Kippur	National (Hebrew calendar)
~September/October	Sukkot and Simchat Torah	National (Hebrew calendar)

Israel's public holidays follow the Hebrew lunar calendar and shift each Gregorian year — confirm exact 2026 dates closer to the time.

Ready to hire in Israel?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Israel employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$750** per employee per month plus a one-time **USD \$500** setup fee (Tier 3).